estate is a bet on continued inflation. Leverage makes sense when the underlying asset continues to go up in value.

You may also experience deflation, where people have less incentive to buy today because a property is likely to be cheaper tomorrow. Leverage combined with deflation can be devastating. This happened in the financial crisis of 2008 and 2009. There was a panic, banks stopped lending money, and deflation destroyed real estate prices. This left many people, both real estate investors and homeowners alike, underwater on their mortgages. They owed more money on their properties than the properties were worth, making it difficult to sell the properties and pay off the debt. When you’re underwater on a property, you have to pay the difference between the amount you owe and the current value of the house just to have someone take it off your hands.

While many people allow the risk of leveraging debt to scare them out of investing in real estate, most are comfortable using debt to purchase residential real estate. Maybe that’s because they don’t understand the risk involved.

Using FI Principles to Manage Debt